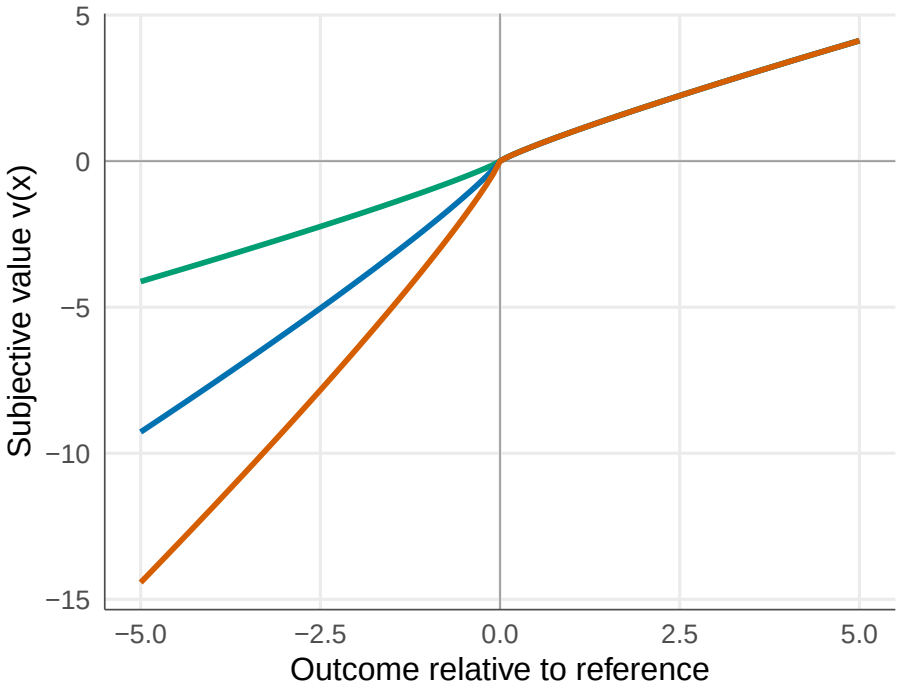
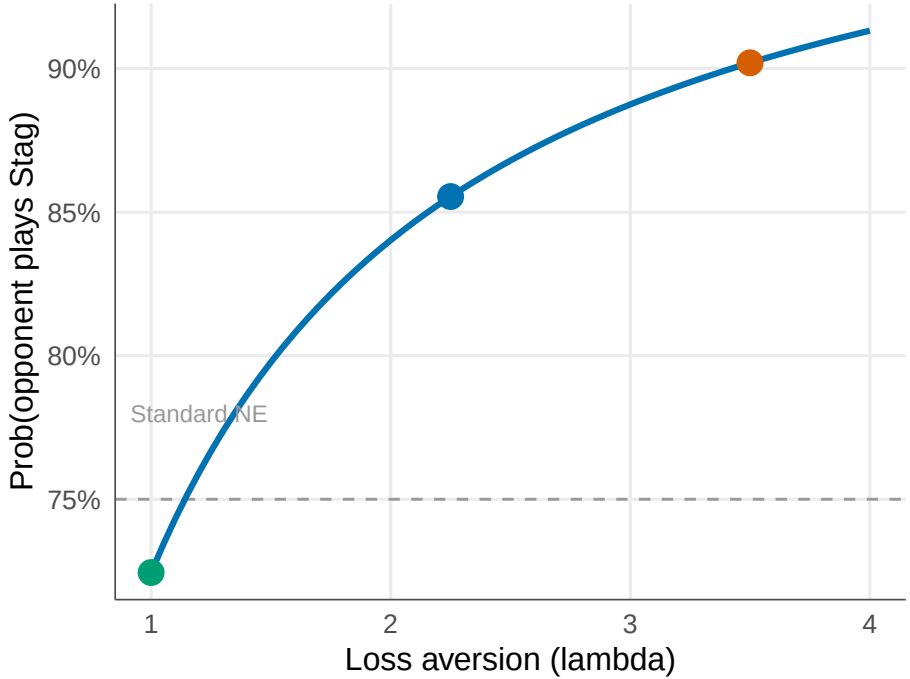
Prospect theory value function



Equilibrium shift with loss aversion

Stag Hunt: mixing probability for Stag



Loss aversion — lambda = 1.00 — lambda = 2.25 — lambda = 3.50